Peer-to-peer lending

Also known as crowdlending, peer-to-peer lending is a way to match savers looking for a return on their cash with borrowers or companies that require investment. A relatively new form of lending, it can offer good returns on savings.

How it works

Like a virtual dating agency for borrowers and lenders, peer-to-peer lending bypasses banks and other financial institutions by using a dedicated crowdlending broker to vet potential borrowers and match them up with investors who are prepared to loan their spare cash.

The appeal for investor-lenders is higher rates of return than they would receive from banks—typically twice the rate. Borrowers, on the other hand, may benefit from lower rates on their loans (unless they are considered high risk due to a low credit score.) The broker runs credit checks on borrowers and offers some protection by holding funds in trust to cover any bad debts. It also usually charges a fee to both borrower and lender. While P2P lending has exploded since the 2008 crash, it is relatively untested and unregulated, meaning that there are potential risks for lenders.

NEED TO KNOW

- **P2P** Abbreviation of peer-to-peer; any network allowing computers to communicate directly with no central server.
- **Crowdlending** Another term for P2P lending.
- **Safeguard** Protection offered to lenders by an online P2P broker in the form of funds held in reserve.

Using peer-to-peer lending

Any individual or business can register with a peer-to-peer lending company. Loan terms are usually between one and five years, and interest rates and fees vary. This is a typical scenario.